

conclusions! With his mastery of mathematics, Graham never forgets that objective conclusions require very long samples of large amounts of data. The charlatans who peddle “time-tested” stock-picking gimmicks almost always base their findings on smaller samples than Graham would ever accept. (Graham often used 50-year periods to analyze past data.)

† Today, the enterprising investor can assemble such a list over the Internet by visiting such websites as www.morningstar.com (try the Stock Quickrank tool), www.quicken.com/investments/stocks/search/full, and <http://yahoo.marketguide.com>.

***** Over the 10 years ending December 31, 2002, funds investing in large growth companies—today’s equivalent of what Graham calls “growth funds”—earned an annual average of 5.6%, underperforming the overall stock market by an average of 3.7 percentage points per year. However, “large value” funds investing in more reasonably priced big companies also underperformed the market over the same period (by a full percentage point per year). Is the problem merely that growth funds cannot reliably select stocks that will outperform the market in the future? Or is it that the high costs of running the average fund (whether it buys growth or “value” companies) exceed any extra return the managers can earn with their stock picks? To update fund performance by type, see www.morningstar.com, “Category Returns.” For an enlightening reminder of how perishable the performance of different investment styles can be, see www.callan.com/resource/periodic_table/pertable.pdf.

***** Graham makes this point to remind you that an “enterprising” investor is not one who takes more risk than average or who buys “aggressive growth” stocks; an enterprising investor is simply one who is willing to put in extra time and effort in researching his or her portfolio.

† Notice that Graham insists on calculating the price/earnings ratio based on a multiyear average of past earnings. That way, you lower the odds that you will overestimate a company’s value based on a temporarily high burst of profitability. Imagine that a company earned \$3 per share over the past 12 months, but an average of only 50 cents per share over the previous six years. Which number—the sudden \$3 or the steady 50 cents—is more likely to represent a sustainable trend? At 25 times the \$3 it earned in the most recent year, the stock would be priced at \$75. But at 25 times the average earnings of the past seven years (\$6 in total earnings, divided by seven, equals 85.7 cents per share in average annual earnings), the stock would be priced at only \$21.43. Which number you pick makes a big difference. Finally, it’s worth noting that the prevailing method on Wall Street today—basing price/earnings ratios primarily on “next year’s earnings”—would be anathema to Graham. How can you value a company based on earnings it hasn’t even generated yet? That’s like setting house prices based on a rumor that Cinderella will be building her new castle right around the corner.